BDRY

BREAKWAVE ADVISORS

Dry Bulk Shipping

August 6, 2024

Breakwave Dry Futures Index:	1,958	Baltic Dry Index (spot):	1,677	Short-term Indicators:	
↓ 30D: -1.2%		↓ 30D: -14.7%		Momentum:	Negative
↑ YTD: 30.6%		↓ YTD: -19.9%		Sentiment:	Neutral
↑ YOY: 53.8%		↑ YOY: 47.6%		Fundamentals:	Negative

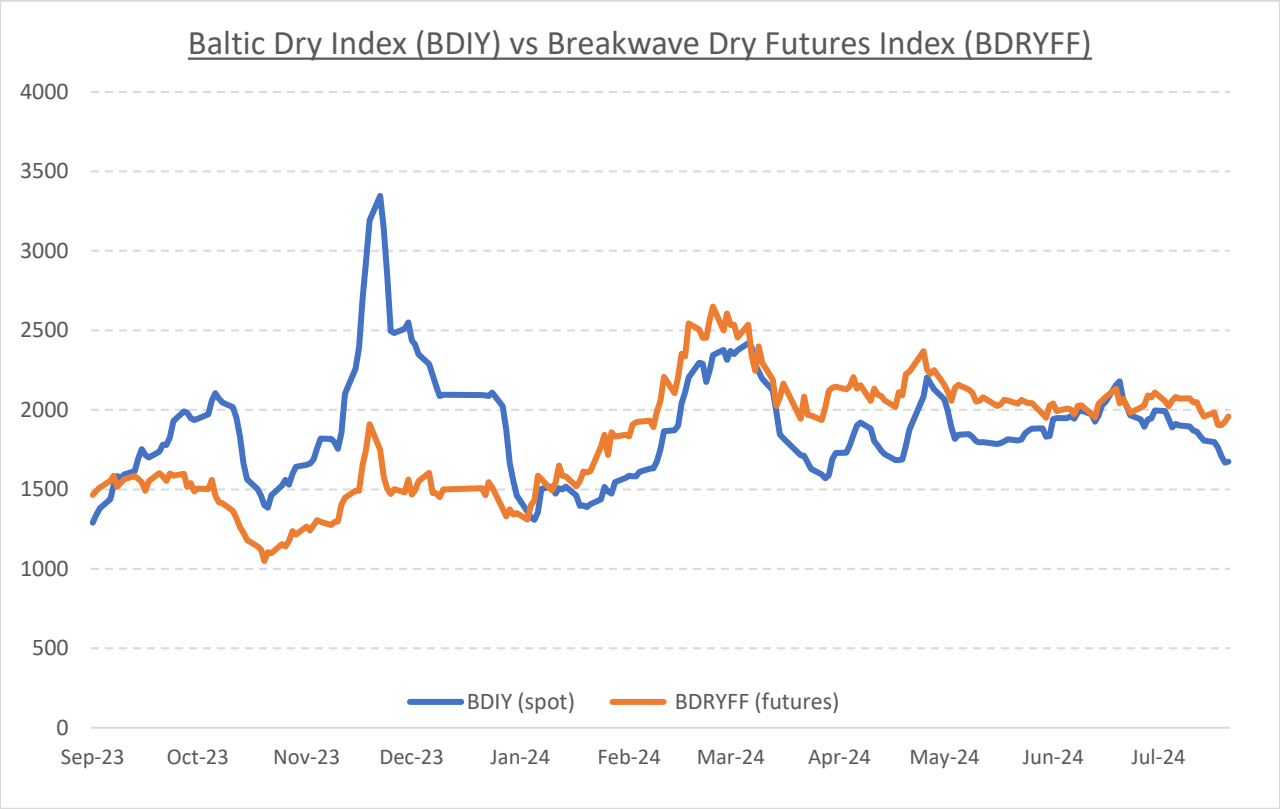
Bi-Weekly Report

- **Its Always Darkest Before the Dawn: Capesize Rates Should Find a Bottom in the Next Two Weeks –** Although we are still in the midst of a summer slowdown for dry bulk shipping, we **anticipate** a gradual **bottoming** and **turnaround** in spot rates prior to the end of August. Such a forecast is supported by several factors, although the **recent global turmoil** in the financial markets has suddenly introduced **another risk** factor to our forecast that presently seems hard to ignore. **Seasonality supports a recovery** in dry bulk rates as we approach September, especially when we look to the pre-Covid era. Firstly, the **rainy season** in West Africa is **about to peak** and soon charterers will begin to book vessels for mid/end of September bauxite loadings, when the weather will be significantly drier than it currently is. Furthermore, the **fourth quarter rump up** in **Brazilian iron ore** exports is ahead of us and given Vale's recent updated production guidance, we anticipate increased volumes to be shipped during the final stretch of the year. Finally, **coal should also begin to move** in higher quantities as utilities begin to build some inventories ahead of the **high-demand winter season**. Of course, all the above is currently facing a **major headwind** coming from multi-year high iron ore **inventories** in China, a continuing **slump** in Chinese **real estate construction,** and the newly introduced **global financial market instability**. The **uncorrelated nature** of shipping makes dry bulk investments particularly attractive during such periods and we believe another such trading opportunity is about to present itself in the next few weeks.

- **Iron Ore Prices Stabilize, but Fundamentals Remain Uncooperative –** The **iron ore** market continues to be **under pressure** as supply of the steelmaking material is ample while demand is subdued due to the ongoing slump in the Chinese real estate sector. Some recent **positive signs** of fiscal support from the Chinese policymakers have resurfaced, but the size and impact of such measures are still debatable. With Chinese **portside inventories** remaining above 150m tons, a historically high level, we see little urgency by steelmills to chase iron ore cargoes, despite the fact that iron ore production so far this year has been robust. The recent **financial turmoil** that has rapidly spread around the globe, has also introduced another volatile element, with FX prices swinging wildly, impacting the **price** of all major **commodities** and adding another risk element to commodity traders' purchasing decisions. After all, any indication of tighter credit conditions for the developed world might reduce the incremental ex-China demand for bulk commodities, even if China remains steady in terms of bulk imports. Overall, we anticipate iron ore prices to **soon** drop into **double digit** territory and remain rangebound for the remainder of the year, defenseless against the significant overstocking activity that has taken place over the last 10 months.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by increasing bulk commodity demand and a slower fleet growth as a result of a relatively low orderbook.

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.



Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	531mt	-1.0%
China Steel Inventories	5.8mt	1.4%
China Iron Ore Inventories	152mt	25.9%
China Iron Ore Imports	612mt	6.1%
China Coal Imports	250mt	12.4%
China Soybean Imports	48mt	-7.8%
Brazil Iron Ore Exports	179mt	6.1%
Australia Iron Ore Exports	455mt	2.8%

Supply		
Dry Bulk Fleet	1016dwt	3.0%

Freight Rates		
Baltic Dry Index, Average	1,847	62.1%
Capesize Spot Rates, Average	23,740	90.5%
Panamax Spot rates, Average	14,445	44.7%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg and Breakwave Advisors

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